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Honda (B)

Soichiro Honda, an inventive genius with a legendary ego, founded the Honda Motor Co., Ltd., in 1948. His exploits have received wide coverage in the Japanese press. Known for his mercurial temperament and bouts of “philandering,”¹ he is variously reported to have tossed a geisha out a second-story window,² climbed inside a septic tank to retrieve a visiting supplier’s false teeth (and subsequently placed the teeth in his own mouth),³ appeared inebriated and in costume before a formal presentation to Honda’s bankers requesting financing vital to the firm’s survival (the loan was denied),⁴ hit a worker on the head with a wrench,⁵ and stripped naked before his engineers to assemble a motorcycle engine.⁶

Company Background

Postwar Japan was in desperate need of transportation. Motorcycle manufacturers proliferated, producing clip-on engines that converted bicycles into makeshift “mopeds.” Soichiro Honda was among these, but his prior experience as an automotive repairman provided neither the financial, managerial, nor technical basis for a viable enterprise.

Soichiro Honda viewed “technology” as the vehicle through which Japanese society could be restored and the world made a better place in which to live. Reflecting the intensity of this commitment, he established the Honda Technical Research Institute in 1946. The term institute was somewhat misleading, since the organization was composed of himself and a few associates and had no practical means of support. Under this organizational umbrella, he began to tinker, and, as a means of livelihood, he purchased 500 war surplus engines and retrofitted them for bicycle use. Lacking marketing know-how, he entered into an exclusive arrangement with a distributor, who packaged a motorcycle conversion kit for bicycles. The Honda Motor Company was formed. Further

¹ Sakiya, Tetsuo. “The Story of Honda’s Founders,” *Asahi Evening News*, June 1-August 29, 1979, Series #2 and #3.

² Interviews with Honda executives, Tokyo, Japan, July 1980.

³ Sakiya, Tetsuo. *Honda Motor: The Men, The Management, The Machines*, Kadonsha International. Tokyo, Japan, 1982, p 69; also Sakiya, “Honda’s Founders,” Series #4.

⁴ Sakiya, “Honda’s Founders,” Series #7 and #8.

⁵ Sakiya, *Honda Motor*, p. 72.

⁶ Sakiya, “Honda’s Founders,” Series #2.

Dr. Richard T. Pascale of Stanford Graduate School of Business wrote this case with the collaboration of Professor E. Tatum Christiansen of Harvard Business School. It is based largely on internal Honda sources and interviews with founders of Honda Motor Co., Ltd., and the Japanese management team that founded Honda of America. HBS cases are developed solely as the basis for class discussion. Cases are not intended to serve as endorsements, sources of primary data, or illustrations of effective or ineffective management.

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tinkering led, in turn, to the introduction of the “A-design”—a 2-stroke, 50cc engine. The engine had numerous defects, and sales did not materialize. Scraping by on occasional orders, the company lost money in 1947 and grossed \$55,000 in 1948.

In 1949, Soichiro Honda turned to friends. Raising \$3,800, he developed and introduced the 2-stroke, D-type engine. This engine, generating 3 hp, was more reliable than most on the market and enjoyed a brief spurt of popularity. Recruiting a work force of 70 employees, Honda produced engines one at a time and approached an annualized production rate of 100 units per month by the end of 1949.

Success was short-lived, however. Honda’s exclusive distributor elected to artificially limit sales to 80 units per month in order to maintain high margins. Soichiro Honda was irate and vowed to avoid such dependencies in the future. In late 1949 he set out to raise additional financing but suffered a second setback when competitors leapfrogged the 2-stroke design and introduced quieter and more powerful 4-stroke engines.

A classic dilemma now faced the struggling enterprise. Honda’s engine was obsolete, and his distribution system held him at ransom. Without additional financing he could not correct these deficiencies, and banks and investors did not regard him as a sound management risk.

In late 1949, an intermediary urged him to accept a partner—Takeo Fujisawa. Fujisawa was prepared to invest 2 million yen (about \$7,500). More important, Fujisawa brought financial expertise and marketing strengths.

Despite Fujisawa’s presence, the firm continued to falter. No further capital could be raised in 1950. Fujisawa pressed his partner to quit tinkering with his noisy 2-stroke engine and join the industry leaders with a 4-stroke design, since it was clear that competition had threatened Honda with extinction. At first too proud to accept this counsel, in 1951 he unexpectedly unveiled a breakthrough design that doubled horsepower over competitive 4-stroke engines. With this innovation, the firm was off and putting, and by 1952 demand was brisk.⁷

Honda’s superior 4-stroke engine enabled Fujisawa to raise \$88,000 in 1952. With these funds, Fujisawa committed to reduce dependency on suppliers and distributors by becoming a full-scale motorcycle manufacturer. To forestall technological obsolescence, he encouraged Honda to stay abreast of technological developments. He also sought more flexible channels of distribution. Unfortunately, Honda was a relatively late entrant; the best Fujisawa could do was to arrange for several distributors to carry Honda as a secondary line. He compensated for weak product positioning by going directly to the consumer with advertising.

In late 1952 a sewing machine plant was purchased and converted to a crude motorcycle factory. Neither partner had managerial or manufacturing experience, and there was no real plan other than to work as long as necessary each day to keep up with orders. Honda’s more powerful engine and superior stamped motorcycle frame created considerable interest, and demand remained strong. Employment leaped from 150 in 1951 to 1,337 by the end of 1952. Honda integrated into the production of chains, sprockets, and motorcycle frames. Altogether, these factors greatly complicated the management task. There were no standardized drawings, procedures, or tools. For several years the plant was, in effect, a collection of semi-independent “activities” sharing the same roof. Nonetheless, by the beginning of 1959 Honda had become a significant participant in the industry, with 23% market share (see *Exhibit 1*).

⁷ Sakiya, *Honda Motor*, pp. 71–72.

Honda's successful 4-stroke engine eased the pressures on Fujisawa by increasing sales and providing easier access to financing. For Soichiro Honda, the higher-horsepower engine opened the possibility of pursuing one of his central ambitions in life: to build and to race a high-performance, special-purpose motorcycle—and win. Winning provided the ultimate confirmation of his design abilities. Racing success in Japan came quickly. As a result, in 1959 he raised his sights to the international arena and committed the firm to winning at Great Britain's Isle of Man—the “Olympics” of motorcycle racing.⁸ Again, Honda's inventive genius was called into play. Shifting most of the firm's resources into this racing effort, he embarked on studies of combustion that resulted in a new configuration of the combustion chamber, which doubled horsepower and halved weight. Honda leapfrogged past European and American competitors—winning in one class, then another, winning the Isle of Man manufacturer's prize in 1959, and sweeping the first five positions by 1961.⁹

Throughout the 1950s, Fujisawa sought to turn his partner's attention from enthusiasm with racing to the more mundane requirements of running an enterprise. By 1956, as the innovations gained from racing had begun to pay off in vastly more efficient engines, Fujisawa pressed Honda to adapt this technology for a commercial motorcycle.¹⁰ He had a particular segment in mind. Most motorcyclists in Japan were male, and the machines were used primarily as an alternative form of transportation to trains and buses. However, a vast number of small commercial establishments in Japan still delivered goods and ran errands on bicycles. Trains and buses were inconvenient for these activities. The purse strings of these small enterprises were controlled by the Japanese wife—who resisted buying conventional motorcycles because they were expensive, dangerous, and hard to handle. Fujisawa challenged his partner: Can you use what you've learned from racing to come up with an inexpensive, safe-looking motorcycle that can be driven with one hand (to enable carrying packages)?¹¹

The First Breakthrough

In 1958 the Honda 50cc Supercub was introduced—with an automatic clutch, 3-speed transmission, automatic starter, and the safe, friendly look of a bicycle (without the stigma of the outmoded mopeds). As a rule of thumb, a 50cc engine is 50% cheaper to make than a 100cc engine. Achieving high horsepower with a small engine thereby reaps automatic cost savings—making the new bike affordable. Innovative design provided a cost advantage without requiring Honda to manufacture more efficiently than its competitors. (This was fortunate since the firm, having expanded into three plants in the 1950s, had still not achieved a well-integrated production process.)

Overnight, Honda was overwhelmed with Supercub orders. Demand was met through makeshift, high-cost, company-owned assembly and farmed-out assembly through subcontractors.¹² By the end of 1959 Honda had skyrocketed into first place among Japanese motorcycle manufacturers. Of its total sales that year of 285,000 units, 168,000 were Supercubs.¹³ The time seemed appropriate to build an automated plant with a 30,000-unit-per-month capacity. “It wasn't a speculative investment,”

⁸ Sakiya, “Honda's Founders,” Series #11.

⁹ Ibid.

¹⁰ Ibid., Series #13; also Sakiya, *Honda Motor*, p. 117.

¹¹ Sakiya, “Honda's Founders,” Series #11.

¹² Pascale, Richard T., Interviews with Honda executives, Tokyo, Japan, September 10, 1982.

¹³ Data provided by Honda Motor Company.

recalls one executive. “We had the proprietary technology, we had the market, and the demand was enormous.”¹⁴ The plant was completed in mid-1960.

Distribution Channels

Fujisawa utilized the Supercub to restructure Honda’s channels of distribution. For many years, Honda had rankled under the two-tier distribution system that prevailed in the industry. As noted earlier, these problems had been exacerbated by Honda’s being carried as a secondary line by distributors whose loyalties lay with older, established manufacturers. Further weakening Honda’s leverage, all manufacturer sales were on a consignment basis.

Fujisawa had characterized the Supercub to Honda’s distributors as “something much more like a bicycle than a motorcycle.” The traditional channels, to their later regret, agreed. Under amicable terms, Fujisawa began selling the Supercub directly to retailers—and primarily through bicycle shops. Since these shops were small and numerous (approximately 12,000 in Japan), sales on consignment were unthinkable. A cash-on-delivery system was installed—giving Honda significantly more leverage over its dealerships than the other motorcycle manufacturers enjoyed.¹⁵

Honda Enters U.S. Market

Soichiro Honda’s racing conquests in the late 1950s had given substance to his convictions about his abilities. Success fueled his appetite for new and different challenges. Explosive sales of the Supercub in Japan provided the financial base for new quests. The stage was now set for the exploration of the U.S. market.

From the Japanese vantage point, the American market was vast, untapped, and affluent. “We turned toward the United States by a process of deduction,” states one executive. “Our experiments with local Southeast Asian markets in 1957 and 1958 had little success. With little disposable income and poor roads, total Asian exports had reached a meager 1,000 units in 1958.¹⁶ The European market, while larger, was heavily dominated by its own name-brand manufacturers, and the popular mopeds dominated the low-price, low-horsepower end.”

Two Honda executives—the designated president of American Honda Motor Company, Kihachiro Kawashima, and his assistant—arrived in the United States in late 1958. Their itinerary: San Francisco, Los Angeles, Dallas, New York, and Columbus. Kihachiro Kawashima recounts his impressions:¹⁷

My first reaction after traveling across the United States was “How could we have been so stupid to start a war with such a vast and wealthy country!” My second reaction was discomfort. I spoke poor English. We dropped in on motorcycle dealers who treated us discourteously and, in addition, gave the general impression of being motorcycle enthusiasts who, secondarily, were in business. There were only 3,000 motorcycle dealers in the United States at the time, and only 1,000 of them were open five days a week. The remainder were open on nights and on weekends. Inventory was poor, manufacturers sold motorcycles to

¹⁴ Pascale interviews.

¹⁵ Ibid.

¹⁶ Ibid.

¹⁷ Ibid.

dealers on consignment, the retailers provided consumer financing, and after-sale service was poor. It was discouraging.

My other impression was that everyone in the United States drove an automobile—making it doubtful that motorcycles could ever do very well in the market. However, with 450,000 motorcycle registrations in the United States and 60,000 motorcycles imported from Europe each year it didn't seem unreasonable to shoot for 10% of the import market. I returned to Japan with that report.

In truth, we had no strategy other than the idea of seeing if we could sell something in the United States. It was a new frontier, a new challenge, and it fit the "success against all odds" culture that Mr. Honda had cultivated: I reported my impressions to Fujisawa—including the seat-of-the-pants target of trying, over several years, to attain a 10% share of the U.S. imports. He didn't probe that target quantitatively. We did not discuss profits or deadlines for breakeven. Fujisawa told me if anyone could succeed, I could, and authorized \$1 million for the venture.

The next hurdle was to obtain a currency allocation from the Ministry of Finance. They were extraordinarily skeptical. Toyota had launched the Toyopet in the United States in 1958 and had failed miserably. "How could Honda succeed?" they asked. Months went by. We put the project on hold. Suddenly, five months after our application, we were given the go-ahead—but at only a fraction of our expected level of commitment. "You can invest \$250,000 in the U.S. market," they said, "but only \$110,000 in cash." The remainder of our assets had to be in parts and motorcycle inventory.

We moved into frantic activity as the government, hoping we would give up on the idea, continued to hold us to the July 1959 start-up timetable. Our focus, as mentioned earlier, was to compete with the European exports. We knew our products at the time were good, but not far superior. Mr. Honda was especially confident of the 250cc and the 305cc machines. The shape of the handlebar on these larger machines looked like the eyebrow of Buddha, which he felt was a strong selling point. Thus, after some discussion and with no compelling criteria for selection, we configured our start-up inventory with 25% of each of our four products—the 50cc Supercub and the 125cc, 250cc, and 305cc machines. In dollar-value terms, of course, the inventory was heavily weighted toward the larger bikes.

The stringent monetary controls of the Japanese government together with the unfriendly reception we had received during our 1958 visit caused us to start small. We chose Los Angeles where there was a large second- and third-generation Japanese community, a climate suitable for motorcycle use, and a growing population. We were so strapped for cash that the three of us shared a furnished apartment that rented for \$80 per month. Two of us slept on the floor. We obtained a warehouse in a run-down section of the city and waited for the ship to arrive. Not daring to spare our funds for equipment, the three of us stacked the motorcycle crates three-high, by hand; swept the floor; and built and maintained the parts bin.

We were entirely in the dark the first year. We were not aware that the motorcycle business in the United States occurs during a seasonable April-to-August window—and that our timing coincided with the closing of the 1959 season. Our hard-learned experiences with distributorship in Japan convinced us to try to go to the retailers direct. We ran ads in the motorcycle trade magazine for dealers. A few responded. By spring 1960, we had 40 dealers and some of our inventory in their stores—mostly larger bikes. A few of the 250cc and 305cc bikes began to sell. Then disaster struck.

By the first week of April 1960, reports were coming in that our machines were leaking oil and encountering clutch failure. This was our lowest moment. Honda's fragile reputation was being destroyed before it could be established. As it turned out, motorcycles in the United States are driven much farther and much faster than in Japan. We dug deeply into our precious cash reserves to air freight our motorcycles to the Honda testing lab in Japan. Throughout the dark month of April, Pan Am was the only enterprise in the United States that was nice to us. Our testing lab worked 24-hour days bench testing the bikes to try to replicate the failure. Within a month, a redesigned head gasket and clutch spring solved the problem. In the meantime, events had taken a surprising turn.

Throughout our first eight months, following Mr. Honda's and our own instincts, we had not attempted to move the 50cc Supercubs. While they were a smash success in Japan (and manufacturing couldn't keep up with demand there), they seemed wholly unsuitable for the U.S. market where everything was bigger and more luxurious. As a clincher, we had our sights on the import market—and the Europeans, like the American manufacturers, emphasized the larger machines.

We used the Honda 50s ourselves to ride around Los Angeles on errands. They attracted a lot of attention. One day we had a call from a Sears buyer. While persisting in our refusal to sell through an intermediary, we took note of Sears's interest. But we still hesitated to push the 50cc bikes out of fear they might harm our image in a heavily macho market. But when the larger bikes started breaking, we had no choice. We let the 50cc bikes move. And surprisingly, the retailers who wanted to sell them weren't motorcycle dealers; they were sporting goods stores.

The excitement created by Honda Supercub began to gain momentum. Under restrictions from the Japanese government, we were still on a cash basis. Working with our initial cash and inventory, we sold machines, reinvested in inventory, and sunk the profits into additional inventory and advertising. Our advertising tried to straddle the market. While retailers continued to inform us that our Supercub customers were normal everyday Americans, we hesitated to target toward this segment out of fear of alienating the high-margin end of our business—sold through the traditional motorcycle dealers to a more traditional "black leather jacket" customer.

An Advertising Twist

As late as 1963, Honda was still working with its original Los Angeles advertising agency, its ad campaigns straddling all customers so as not to antagonize one market in pursuit of another.

In the spring of 1963, while fulfilling a routine class assignment, an undergraduate advertising major at UCLA submitted an ad campaign for Honda. Its theme was "You Meet the Nicest People On a Honda." Encouraged by his instructor, the student passed his work on to a friend at Grey Advertising. Grey had been soliciting the Honda account—which, with a \$5-million-a-year budget, was becoming an attractive potential client. Grey purchased the student's idea—on a tightly kept nondisclosure basis. Grey attempted to sell the idea to Honda.¹⁸

Interestingly, the Honda management team, which by 1963 had grown to five Japanese executives, was badly split on this advertising decision. The president and treasurer favored another proposal from another agency. The director of sales, however, felt strongly that the Nicest People campaign

¹⁸ Ibid.

was the right one—and his commitment eventually held sway. Thus, in 1963, Honda adopted a strategy that directly identified and targeted that large, untapped segment of the marketplace that was to become inseparable from the Honda legend.¹⁹

The Nicest People campaign drove Honda's U.S. sales at an even greater rate. By 1964 nearly one out of every two motorcycles sold was a Honda. As a result of the influx of medium-income leisure-class consumers, banks and other consumer credit companies began to finance motorcycles—shifting away from dealer credit, which had been the traditional purchasing mechanism available. Honda, seizing the opportunity of soaring demand for its products, took a courageous and seemingly risky position. Late in 1964 it announced that thereafter, it would cease to ship on a consignment basis but would require cash on delivery. Honda braced itself for a revolt that never materialized. While nearly every dealer questioned, appealed, or complained, none relinquished the Honda franchise. In one fell swoop, Honda shifted the power relationship from the dealer to the manufacturer. Within three years, C.O.D. sales would become the pattern for the industry.²⁰

Honda's growth on several dimensions is shown in *Exhibit 2*. Automobiles were introduced into the product line in 1963, shifting resources and management attention heavily in that direction in the ensuing years.

25 Years Later

In late 1972, anticipating the company's twenty-fifth anniversary, Fujisawa, 62, raised the issue of retirement. "We are strong dominating individuals," he said. "I must step aside and let the younger men lead our company." Soichiro Honda, 66, also conceded to retire. In September 1973, the two stepped down. States one source: "Fujisawa retired early to provide Mr. Honda with an opportunity to retire, also. It is a reflection of Fujisawa's genuine personal friendship with Mr. Honda."²¹

¹⁹ Ibid.

²⁰ Ibid.

²¹ Sakiya, Tetsuo. "The Story of Honda's Founders," *Asahi Evening News*, August 29, 1979.

Exhibit 1 Motorcycle Production in Japan by Japanese Makers

Calendar Year	Honda	Yamaha	Suzuki	Kawasaki	Other	Total
1950	531	-	-	-	6,960	7,491
1951	2,380	-	-	-	21,773	24,153
1952	9,659	-	-	-	69,586	79,245
1953	29,797	-	-	-	131,632	161,429
1954	30,344	-	-	200	133,929	164,473
1955	42,557	2,272	9,079	-	205,487	259,395
1956	55,031	8,743	18,444	5,083	245,459	332,760
1957	77,509	15,811	29,132	6,793	280,819	410,064
1958	117,375	27,184	66,363	7,018	283,392	501,332
1959	285,218	63,657	95,862	10,104	425,788	880,629
1960	649,243	138,153	155,445	9,261	520,982	1,473,084
1961	935,859	129,079	186,392	22,038	531,003	1,804,371
1962	1,009,787	117,908	173,121	31,718	342,391	1,674,925
1963	1,224,695	167,370	271,438	34,954	229,513	1,927,970
1964	1,353,594	221,655	373,871	33,040	128,175	2,110,335
1965	1,465,762	244,058	341,367	48,745	112,852	2,212,784
1966	1,422,949	389,756	448,128	67,959	118,599	2,447,391
1967	1,276,226	406,579	402,438	79,194	77,410	2,241,847
1968	1,349,896	423,039	365,330	78,124	34,946	2,251,335
1969	1,534,882	519,710	398,784	102,406	21,091	2,576,873
1970	1,795,828	574,100	407,538	149,480	20,726	2,947,672
1971	1,927,186	750,510	491,064	208,904	22,838	3,400,502
1972	1,873,893	853,317	594,922	218,058	25,056	3,565,246
1973	1,835,527	1,012,810	641,779	250,099	22,912	3,763,127
1974	2,132,902	1,164,886	839,741	354,615	17,276	4,509,420
1975	1,782,448	1,030,541	686,666	274,022	28,870	3,802,547
1976	1,928,576	1,169,175	831,941	284,478	20,942	4,235,112
1977	2,378,867	1,824,152	1,031,753	335,112	7,475	5,577,359
1978	2,639,588	1,887,311	1,144,488	326,317	2,225	5,999,929
1979	2,437,057	1,653,891	1,100,778	308,191	79	5,499,996
1980	3,087,471	2,241,959	1,551,127	521,846	-	7,402,403
1981	3,587,957	2,792,817	1,764,120	521,333	-	8,666,227

Source: Japan Automobile Manufacturers Association, Inc.

Note: KD sets and scooters are included.

Exhibit 2 Honda's Financial Performance and U.S. Motorcycle Sales

Calendar Year	Gross Sales (million yen)	Honda U.S. Motorcycle Sales (units)	Outside Financing (million yen)	Employees
1948	14.3	-	1	20
1949	34.6	-	2	70
1950	82.8	-	-	90
1951	330.3	-	-	150
1952	2,438	-	15	1,337
1953	7,729	-	60	2,185
1954	5,979	-	-	2,494
1955	5,525	-	120	2,459
1956	7,882	-	-	2,377
1957	9,786	-	360	2,438
1958	14,188	-	720	2,705
1959	26,165	-	1,440	3,355
1960	49,128	1,315	4,320	4,053
1961	57,912	6,052	8,640	5,406
1962	64,552	27,840	9,090	5,798
1963	83,206	65,869	-	6,816
1964	97,936	110,470	-	7,696
1965	123,746	227,308	-	8,481
1966	106,845	272,900	-	9,069
1967	141,179	181,200	-	11,283
1968	193,871	174,706	18,180	13,165
1969	244,895	272,600	-	16,614
1970	316,331	441,200	-	17,511
1971	332,931	656,800	-	18,079
1972	327,702	707,800	-	18,297
1973	366,777	556,300	19,480	18,287
1974	519,897	628,500	24,350	18,455
1975	563,805	343,900	-	18,505
1976	668,677	444,624	25,500	19,069
1977	849,635	439,822	29,600	19,968
1978	922,280	401,114	-	21,316

Note: Above figures are related solely to Honda Motor Co., Ltd., and are not consolidated with those of its subsidiaries.